

RISK FACTOR SUMMATION

The next method is called Risk Factor Summation. Here, the investor identifies different risk factors and adds a discount next to each. They use these factors to reach a valuation. This is also a relatively complex calculation. For example, the following risks can be applied to a company:



PRODUCT RISK:

If the product has not yet established a market fit.



FOUNDER RISK:

If the founder is relatively new to the field



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